

In the gravity-defying market environment that followed the 2008–2009 financial crisis, the most speculative investments regularly performed the best, and many institutional investors came to act as if return achieved is always commensurate with risk incurred. Specifically, they have made the decision to deliberately bear more risk to earn incremental return. But from a value-investing perspective, returns come from avoiding risk. When you take on additional risk, you always get the risk, but you may or may not achieve the return. Remember the carnage that comes when market bubbles burst. Stocks that investors eagerly bought at elevated prices based on overly optimistic assumptions find trouble attracting bids at much lower prices, even though at such levels the prospective returns could now outweigh the risks.

Risk must also be considered over a period of time. Any security, as mentioned, can trade at any price at a particular moment, but its value is ultimately tethered to the value of the underlying business. Short-term volatility can drive markdowns in the value of one's portfolio (a negative if you're forced to sell, and a positive if you can buy more). Longer term, the only risks that really matter are being overly optimistic on corporate cash flows or choosing an inadequate discount rate.

The risks of investing in securities are closely related to those of the underlying businesses. Some businesses are more secure in their market positions than others. A low-cost competitor with high-profit margins may have a considerable advantage, for example, and a high cost incumbent a dangerous disadvantage. Some companies are domiciled in unpredictable or unreliable locales, and investing in them may be overly risky. Some companies carry excessive leverage, while others have fortress-like balance sheets that can withstand just about any adversity. Every investor needs to establish her own willingness to incur such risks and determine how much expected return she will require to be paid for bearing them.